Institutional-Style Short-Term Trading Framework

(Model-1 → Model-2 → Model-3 Execution System)

This framework identifies **short-term trading opportunities (2–5 days)** by combining **fundamental demand triggers with technical timing and disciplined entries**.

The system is structured in **three layers**:

- **Model-1:** Identify stocks with **real demand catalysts**
- **Model-2:** Confirm **technical timing and structure**
- **Model-3:** Execute **only when both align with pullback discipline**

MODEL-1 — Demand Identification

(WHAT to Trade)

Model-1 identifies stocks where **new demand or policy catalysts are likely to move price in the next few days**.

Time Horizon

- Short-term trading window: **5–9 trading days**

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1. Industry-First Approach

Start with industries where **capital flow or policy catalysts exist**.

Primary sectors to monitor:

- Semiconductor / Electronics Manufacturing (EMS)
- Metals (Copper, Steel, Aluminium)
- Power & Energy
- Defence
- Fertilizers & Agro inputs
- Infrastructure / Water / Irrigation
- Oil & Gas (like Adani Gas)

These sectors often respond quickly to **policy announcements and economic changes**.

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2. Demand Type Classification

Every stock must fit **one clear demand category**.

Urgent / Forced Demand

Demand that cannot be postponed.

Examples:

- Power generation demand
- Fertilizer demand during crop seasons
- Energy supply requirements

Policy-Backed Demand

Demand created by **government spending or regulation**.

Examples:

- Budget allocations
- PLI schemes
- Defence procurement
- Infrastructure spending
- Renewable energy programs

Commodity Cycle Demand

Demand created by **global supply-demand imbalances**.

Examples:

- Copper shortages
- Steel inventory restocking
- Energy price cycles

Seasonal Demand

Demand driven by **predictable annual cycles**.

Examples:

- Agricultural input demand
- Energy consumption cycles
- Infrastructure spending windows

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3. Fundamental Filters

Stocks must also meet these criteria:

- Predictable business model
- Visible earnings or cash flow
- Not excessively overvalued
- Active participation from institutional investors
- Sector strength relative to the broader market

Avoid:

- speculative momentum stocks
- extremely high-PE narrative names

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4. Demand Confirmation from Market Information

Use information sources such as:

- policy announcements
- government budgets
- sector-specific news
- commodity trends
- institutional commentary

This ensures **the demand story is real, not speculative**.

MODEL-2 — Technical Timing

(WHEN to Trade)

Model-2 confirms that **buyers are actually entering the stock**.

Technical signals must appear **inside a demand zone identified in Model-1**.

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1. Pullback Requirement (Critical Rule)

Stocks must be bought only **after a pullback into a demand zone**.

Acceptable pullback zones:

- Previous breakout level
- 20-EMA or 50-EMA support
- VWAP support (intraday)
- High-volume demand area

Avoid:

- buying at fresh highs
- chasing vertical candles
- buying extended gap-ups

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2. Price Structure Requirements

Valid technical structure includes:

- Higher-low pattern
- W-pattern or double bottom
- Bullish rejection candle
- Stabilization after pullback

These patterns show **seller exhaustion and buyer control**.

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3. Momentum Confirmation

Indicators used:

- RSI between **50 and 60**

- RSI turning upward
- Rising momentum after pullback

This indicates **trend continuation rather than late entry**.

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4. Volume Confirmation

Look for:

- decreasing volume during pullback
- increasing volume during the rebound

This shows **institutional accumulation**.

MODEL-3 — Trade Execution

(WHEN ALL CONDITIONS ALIGN)

Model-3 is activated only when:

Model-1 + Model-2 + Market Conditions align

This stage converts analysis into **actual trades**.

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1. Market Regime Filter (Model-0)

Before entering any trade:

- Index must be stable or rising
- Market breadth should not be extremely negative
- No sharp selling pressure in major indices

If the market is weak, **skip trading entirely**.

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2. Entry Timing

Enter only when:

- stock reacts positively from demand zone
- bullish candle closes above pullback structure

- volume increases

Never enter during:

- first 15 minutes of market
- uncontrolled gap-ups
- sharp vertical rallies

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3. Position Management

Trading plan discussed in this system:

Capital allocation example:

- Total capital: ₹1,00,000
- Position size: ₹25,000 per stock
- Maximum 4 stocks simultaneously

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4. Risk Management Rules

Stop-loss discipline:

- Maximum loss per trade: **2%**
- Profit target: **4–5%**
- At **3% profit** → **move stop-loss to cost**

If two stop-losses occur in one session:

Stop trading for the day.

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5. Gap-Up Management

If a stock opens **more than 2% above the previous close**:

Do not buy immediately.

Options:

- wait for pullback to VWAP
- wait for gap fill

- replace with another stock from the watchlist

Daily Execution Workflow

Step 1 – Build Model-1 Watchlist

Identify **10–15 stocks** with demand catalysts.

Step 2 – Filter with Model-2

Select stocks that:

- pull back to demand zones
- show bullish structure
- display improving momentum , e.g. above 21days EMA

Step 3 – Execute Model-3 Trades

Choose **maximum 4 stocks** that meet all conditions.

Enter only after **technical confirmation**.

Key Philosophy of the System

This framework is based on one core idea:

Professional traders buy pullbacks in stocks where demand already exists.

The system avoids:

- emotional trading
- chasing momentum
- trading without catalysts

Instead, it focuses on:

- demand-driven price movement
- controlled risk
- repeatable setups.

Core Principle

Demand creates opportunity.
Pullbacks create entry.
Confirmation creates trades.,

MODEL-4 — Bearish Market Opportunity Model

(WHEN MARKETS ARE FALLING)

Model-4 identifies **stocks likely to fall faster than the index** when markets enter a **risk-off regime**.

It can be used for:

- Short selling
- Avoiding weak stocks
- Selecting stocks for **intraday downside trades**
- Identifying sectors under distribution

1⃣Market Regime Trigger (Activation)

Model-4 activates only when **market weakness is confirmed**.

Global Market Signals

- US markets falling (S&P500 / Nasdaq down)
- Asian markets weak
- Global risk-off sentiment

Domestic Market Signals

- Nifty below VWAP
- Nifty making **lower highs and lower lows**
- Advance/Decline ratio < 0.7
- Banking sector weak

If these occur together → **Model-4 becomes active**.

2⃣ Sector Weakness Identification

Focus only on sectors showing **capital outflows**.

Typical weak sectors in falling markets:

- High-beta metals
- Midcap infrastructure
- PSU momentum stocks
- Speculative small caps
- Overextended renewable energy stocks

Avoid defensive sectors like:

- FMCG
- Pharma
- Utilities

These tend to fall less.

3⃣ Weak Stock Characteristics

Stocks selected must show **structural weakness**.

Structural Signals

- Lower-high pattern
- Breakdown below support
- Price below 20-EMA and 50-EMA
- Failed pullback

Momentum Signals

- RSI below 45
- Increasing volume on down days
- Weak bounce compared to index

These indicate **institutional distribution**.

4⃣ Failed Pullback Setup (Key Model-4 Entry)

This is the **opposite of Model-3**.

Instead of buying pullbacks, Model-4 sells **failed pullbacks**.

Pattern

1. Stock breaks support
2. Small bounce occurs
3. Bounce fails near resistance
4. Downtrend resumes

This is called **bearish continuation**.

5⃣ Entry Rules

Short entry only when:

- Stock fails near 20-EMA / VWAP
- Bearish candle forms
- Volume increases

Never short at extreme lows.

Wait for **pullback failure**.

6⃣ Risk Management

Similar to your long trades:

Stop-loss: **2% above entry**

Target: **4-5% downside**

If market stabilizes → exit early.

7⃣ Model-4 Execution Logic

Daily workflow:

1. Check global markets
2. Confirm Nifty weakness
3. Identify weak sectors
4. Select stocks breaking support
5. Wait for failed pullback
6. Enter short

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8. When NOT to Use Model-4

Do not activate Model-4 if:

- Market is sideways
- Index stabilizes above VWAP
- Strong policy news appears
- High institutional buying visible

Model-4 works only in **clear bearish regimes**.

Core Logic of the Entire System

Your trading system now becomes:

Model	Purpose	Market Condition
Model-1	Demand identification	Any market
Model-2	Technical timing	Any market
Model-3	Long trade execution	Bullish or stable markets
Model-4	Short trade execution	Bearish markets

Final Principle

Your system now covers **both directions**:

Model-3 → profit in rising markets

Model-4 → profit in falling markets

That makes the framework **complete and professional**.